Australian CGT reform: status and scope

Checked **11 November 2026**. Distinguish the Budget announcement, the first enacted legislation, subsequent implementation work and hypothetical alternatives.

The first tranche is enacted

The Treasury Laws Amendment (Tax Reform No. 1) Act 2026 and Income Tax Rates Amendment (Tax Reform No. 1) Act 2026 received assent on 26 June 2026. The main CGT application date is 1 July 2027, although provisions commenced earlier.

The model's core new-asset comparison is a resident individual, a qualifying asset held long enough for indexation, gains accruing entirely after the new application date, and no special concessions. It compares the old 50% nominal-gain discount with indexed gains and the minimum-tax mechanism. It does not treat every individual gain as subject to a flat 30% rate.

For a simple case without other special adjustments, the minimum operates as a top-up when the increment in basic income tax attributable to the eligible gain is below 30% of that gain. The Act calculates a gap before offsets and rounds the gap down to a whole dollar. The plotted continuous-dollar model omits that final rounding, offsets, Medicare, HELP and transfers. It separately illustrates an exemption under the specified-payment rules; eligibility for an actual payment is not simulated.

Indexation is for the **cost base used to calculate gains**. It does not create or increase a capital loss. This matters when an asset makes a nominal gain smaller than inflation, or a nominal loss. R11 separates symmetric real-loss relief from the statutory nominal-loss concept and an assumed delay in using that loss.

New residential dwellings and qualifying affordable housing have special rules. The Act retains a choice of discount treatment for relevant new dwellings; affordable-housing provisions can involve a 60% discount. A reference to 60% in that specific section is **not** a general new-build discount. The main CGT experiments do not attempt these special cases. Company and superannuation treatment also differs from that of individuals.

Existing holdings and negative gearing

The Act provides a deemed disposal/reacquisition around 1 July 2027 for affected existing assets. Previously accrued gains/losses can be deferred until a later realisation. The M16 experiment uses a **supplied market valuation** to distinguish the old and new portions; it does not implement an alternative Commissioner apportionment formula or the detailed loss-ordering rules. A fully grandfathered negative-gearing position does not imply that all future gains remain under old CGT rules.

Pre-1985 assets have specific transition provisions; the main new-asset examples are not a model of their treatment. Nor do they model mixed personal/business use, residency changes, death, rollovers, trusts, managed funds or small-business concessions.

The Treasury Budget summary describes the negative-gearing limit from July 2027 and the Budget-night acquisition cut-off. Rental losses on caught established residential properties are quarantined to relevant residential income/gains with carry-forward rules. The leverage example instead isolates deduction asymmetry under explicitly stated immediate-relief assumptions; it is not a forecast of the new quarantine's operation.

Further implementation is a separate legislative process

Treasury's August tranche-two consultation identified further rules for trusts, transitional gains, residence, new dwellings and other specific situations. The Treasurer's 14 October second-reading speech confirms introduction of the Tax Reform No. 3 Bill and distinguishes these implementation provisions from the first enacted tranche.

The separate discretionary-trust minimum tax is proposed for July 2028; it should not be conflated with the individual's July 2027 minimum tax on eligible gains. This pack does not implement the proposed trustee collection/beneficiary-offset regime. PBO's announced-measure score is shown as a separate fiscal series.

The Parliament bill pages were blocked to direct retrieval in this environment. The October introduction and scope were verified against the ministerial primary source; a complete current parliamentary-status/implementation-instrument audit is **not** claimed. Recheck the No. 3 bill record, subsequent Acts and instruments before quoting detailed implementation rules. The models deliberately stay within the simple core or clearly labelled abstractions.

Fiscal figures have their own vintage

Budget Paper 2's combined CGT/negative-gearing score is the **May announcement costing**, not a separately identified CGT score or a new estimate of the final legislation. July PBO projections are preliminary and rounded. December 2025 TEIS figures describe revenue forgone under the preceding benchmark and policy settings. None is silently upgraded to a November 2026 costing.

A comprehensive normal-return allowance is a **counterfactual tax design**, not part of the enacted inflation-indexation reform. Its real allowance, loss relief and tax rates are explicit research assumptions.